

Problem Set 3

PPHA 34410 Corporate Finance

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May 04, 2026

Part 1. Multiple choice questions

- 1) Why has private equity increasingly targeted smaller, founder-owned businesses recently?
- 2) What was the primary financial cause of Toys “R” Us’s downfall?
- 3) What is the key difference between the two private equity strategies discussed?

Part 2. Short answer question

- 4) A company issues a one-year zero-coupon bond with the following expected return profile. What is the most that you should pay for it?
- 5) Apple’s most recent annual dividend was \$1.00/share. The market price is \$232.00 per share.
- 6) Given the following information, calculate the PVGO for the following companies:
- 7) Calculate the horizon value and stock price for Apple as of the year end of 2025. Assume that all earnings are paid as a cash dividend at the end of each year.
- 8) Compare the following two bonds, assuming the discount rate is 5% annually:
 - a. Which note has more interest rate risk according to modified duration?
 - b. Does this result surprise you? Give a common-sense explanation of this result.